

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 18-07

MARINE TRANSPORT LOGISTICS, INC.

COMPLAINANT

v.

CMA CGM (AMERICA) LLC

RESPONDENT

JOINT PETITION FOR APPROVAL OF SETTLEMENT

Marine Transport Logistics, Inc. ("MTL") and CMA CGM (America) LLC ("CMA") (jointly, the "Parties") have reached a settlement in this case and hereby petition the Federal Maritime Commission ("FMC") to approve of the Settlement Agreement (attached as **Exhibit A**) as well as the maintenance of confidentiality of the settlement, requested pursuant to Rule 91 and 46 C.F.R. 502.5 (Rule 5).

Procedural History

On August 23, 2018, MTL filed a Complaint with the Commission alleging that CMA violated sections 41102(c), 41104(9), and 41104(10) of the Shipping Act of 1984. Settlement discussions did not result in resolution of the Parties' dispute at that time. On July 10, 2019, CMA filed a Motion to Dismiss for failure to state a claim upon which relief can be granted. On

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August 6, 2019, MTL responded to this motion and filed its own Motion for Leave to File an Amended Complaint. The Commission denied CMA's Motion to Dismiss and granted MTL's Motion to Amend Complaint on September 3, 2019. MTL filed its Amended Complaint on October 8, 2019, and CMA filed its Answer on November 6, 2019. The Commission issued its Scheduling Order for this matter on November 14, 2019.

Since that time, the Parties have been engaged in settlement discussions, and, on January 22, 2020, the Parties reached a settlement agreement, pending Commission review.

The Settlement Should Be Approved

The FMC has a strong and consistent policy of "encourag[ing] settlement and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid. *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc.*, 29 SRR 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 SRR 1085, 1091 (ALJ 1978)). The Commission's policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *See id.* at 1092. The FMC has noted:

The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

In determining potential approval of a settlement, the Commission examines whether the proposal "reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation." *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 SRR 623, 636 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference and*

Columbus Line, Inc., 24 SRR 1129, 1134 (ALJ 1988)). However, the primary factor to be considered is the FMC's "strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid." *APM Terminals*, 31 SRR at 625 (quoting *Inlet Fish Producers*, 29 SRR at 978) (internal quotation marks and brackets omitted).

In the instant case, the settlement is the result of arm's-length negotiations between two sophisticated entities, both of whom have been represented by counsel during the negotiation process. The proposed agreement does not contravene any law or public policy, nor is it unjust or discriminatory in any way. Additionally, this agreement will not result in any adverse effects to any third parties or on the shipping public. The proposed settlement is fair and reasonable, and reflects the Parties' desire to resolve their issues without the need for costly and uncertain litigation.

As a result of the foregoing, the Parties respectfully request that this Joint Petition for Approval of Settlement and Dismissal of This Action be granted, that the Parties' settlement be approved, and that this action be dismissed with prejudice, with each party to bear its own costs.

Request for Confidential Treatment

The Parties request that the proposed settlement remain confidential, as is routinely granted by the Commission due to the recognition that settlement agreements often contain sensitive commercial information, and thus should be protected from public disclosure. *See D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16-02 at *4-5 (FMC May 22, 2018).

Respectfully submitted,



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